

Commodity Price Update and Q2/25 Earnings Preview

Precious Metals: Gold Continues to Soar

Gold extended its strong performance through Q2 2025, setting new all-time highs and ending the quarter up 26%. Despite an early-quarter pullback below US\$3,000 in April, the metal rebounded sharply, climbing to a Q2 high near US\$3,400 later that month. The remainder of the quarter saw sustained strength above US\$3,000, with prices surging past US\$3,400 again in mid-June before settling around US\$3,300 to close the quarter. Gold's outperformance this year has been supported by mounting geopolitical risk, persistent central bank accumulation, and growing concerns over U.S. fiscal stability and dollar weakness. Financial uncertainty continues to drive both institutional and retail investors toward gold as a preferred safe-haven asset, with demand buoyed by elevated inflation, escalating tensions in the Middle East, and renewed trade policy friction. Even stronger bond yields have done little to dull gold's appeal, instead highlighting its resilience relative to traditional hedges like U.S. Treasuries. Against this backdrop, gold remains one of the top-performing asset classes heading into H2, with forecasts anticipating a 15% increase in average prices. Despite slightly lower production across the senior producer space, we anticipate robust free cash flow driven by elevated prices, even as consensus estimates for AISC climb past US\$1,600/oz. Equities remain attractive, with senior producers trading around 1.06x P/NAV, and M&A activity across the sector continues to reinforce confidence. We highlight the companies below as providing excellent exposure to the rising gold price.